Munzeleen Sarwar

Dollarama Inc.

TSX: DOL | Consumer Defensive - Discount Retail | Equity Research - Initiation

RATING: HOLD

Price (21 Oct 2026): C$204.59 • DCF value: C$183.49 • Implied downside: -10.3%

	Value		Value
Market capitalisation	C$54.9B	**Trailing P/E**	41.0x
Enterprise value	C$60.3B	**Forward P/E**	38.3x
Shares outstanding	270.8M	**Price / sales (TTM)**	7.0x
Revenue (FY2026)	C$7,256M	**Dividend yield**	0.2%
Net income (FY2026)	C$1,309M	**52-week range**	C$163.25 – 209.96
EPS diluted (FY2026)	C$4.73	**Net debt incl. leases**	C$5,056M

Investment thesis

- **A strong business.** Dollarama has grown revenue for ten consecutive years (10-year CAGR 10.5%), holds gross margin near 45% and operating margin near 24% while selling at price points capped at $5, and converts roughly a fifth of revenue into free cash flow. Revenue grew in every year in the window, including COVID and the inflation shock.
- **Growth is now international.** The Canadian core (about 1,700 stores) is maturing, so growth now also comes from: a majority stake in Dollarcity in Latin America (600+ stores) and the 2025 acquisition of The Reject Shop in Australia (~400 stores; 6.3% of FY2026 revenue, 93.7% still Canada).
- **But the price already reflects this.** At 41x trailing earnings the market capitalises Dollarama at roughly double the peer median multiple (Section 6). The DCF base case (WACC 6.11%, terminal growth 2.5%) values the shares at C$183, about 10% below the market price. The premium can be defended only if double-digit growth persists longer than the model assumes.
- **Recent results show both sides.** In Q2 FY2027 (ended 2 August 2026) revenue rose 17.6% to C$2,027M and diluted EPS rose 11.2% to C$1.29, yet adjusted EBITDA margin compressed to 32.2% from 34.1% as lower-margin Australian operations entered the mix - growth is real, but it is no longer all high-margin Canadian growth.

Company snapshot

Dollarama, founded in 1992 and headquartered in Montreal, is Canada's largest dollar-store chain. Stores carry consumables, general merchandise and seasonal goods at fixed price points up to $5 - a deliberately simple model: small stores, limited SKUs, direct sourcing, and tight cost discipline. The business therefore does not rely on pricing power in the usual sense; it relies on volume, store economics and capital allocation.

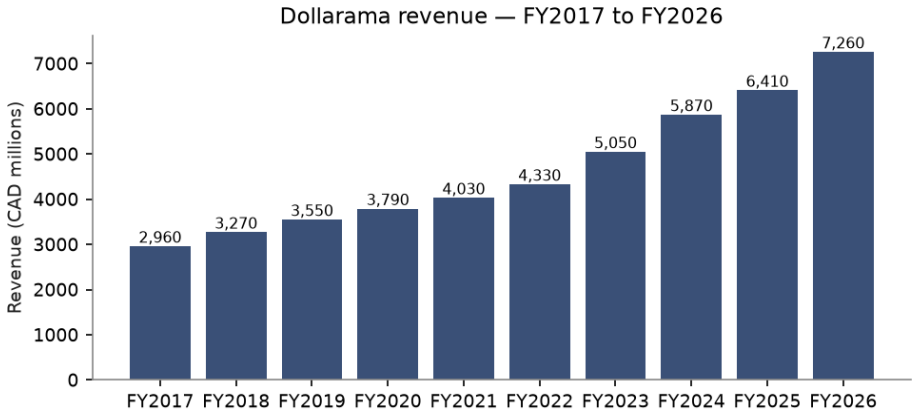


Figure 1 - Revenue, FY2017–FY2026 (CAD millions). Source: company filings via StockAnalysis.com; analysis in the accompanying notebook.

1 Business model and strategy

The group now has three parts. **Canada** remains the main source of profit: a dense store network still adding locations each year, with same-store sales supported by consumers trading down in a high cost-of-living environment. **Dollarcity** (Latin America) is an equity-accounted investment that adds growth in Colombia, Guatemala, El Salvador, Peru and Mexico; its contribution appears in the accounts mainly as earnings from equity investments (about C$222M of pretax support in FY2026 in the data build). **The Reject Shop** (Australia), acquired in 2025, is the first fully consolidated international platform. It uses the same discount model, but it is dilutive to margins while it is integrated and converted.

The model needs little capital. A new Dollarama store is cheap to fit out, inventories turn about 3.6 times a year (roughly 101 days in FY2026), and capex ran at only 3.4% of revenue in FY2026. Free cash flow, not accounting profit, is therefore the better measure for this business, and the balance sheet can carry meaningful lease obligations without strain.

2 Historical financial analysis

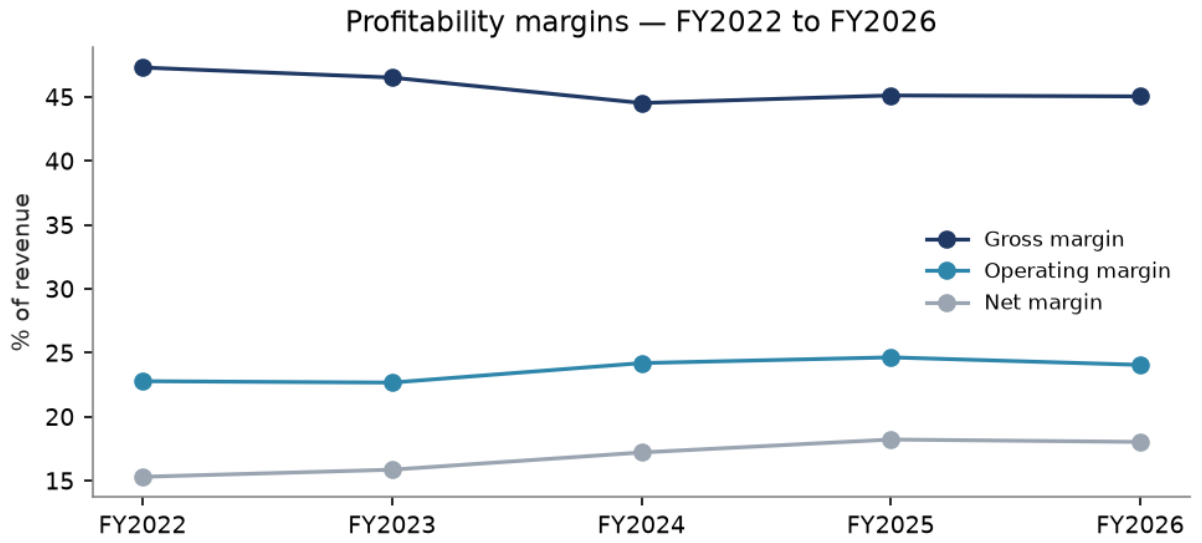


Figure 2 - Margins, FY2022–FY2026. Gross margin fell about 2 points into the inflation peak, then stabilised.

Ratio	FY2022	FY2023	FY2024	FY2025	FY2026
Gross margin	47.3%	46.5%	44.5%	45.1%	45.1%
Operating margin	22.8%	22.7%	24.2%	24.7%	24.1%
Net margin	15.3%	15.9%	17.2%	18.2%	18.0%
Return on assets	16.3%	16.6%	19.2%	18.0%	17.3%
Current ratio (x)	0.79	0.99	1.93	1.18	1.13
Inventory days	95	129	103	96	101
FCF margin	23.6%	14.5%	21.8%	22.3%	20.8%
EPS diluted (C$)	2.18	2.76	3.56	4.16	4.73

Three observations. First, **margin quality is high and stable**: even in FY2024, when cost inflation bit hardest, operating margin stayed above 24%. Second, **returns on assets of 17–19%** are high for retail and are achieved from operations. Third, a caveat applied throughout this report: **return on equity is not meaningful here**. Years of buybacks shrank book equity to C$1,456M and it was negative in FY2022–FY2023, so ROE prints at absurd levels (about 90% in FY2026 on the small positive base, and not computable sensibly before). Any analysis quoting Dollarama's ROE without that warning should not be trusted.

3 Cash flow and capital allocation

Dollarama is a cash machine with a deliberate leakage problem - deliberate because the leakage is buybacks. FY2026 operating cash flow was C$1,761M against capex of only C$249M, leaving free cash flow (before lease payments) of C$1,512M, a 20.8% FCF margin. Of that, C$864M went to share repurchases and C$113M to dividends. Over FY2022–FY2026 the share count fell from 304M to 277M diluted, which is how EPS compounded at 21.4% a year while net income grew more slowly.

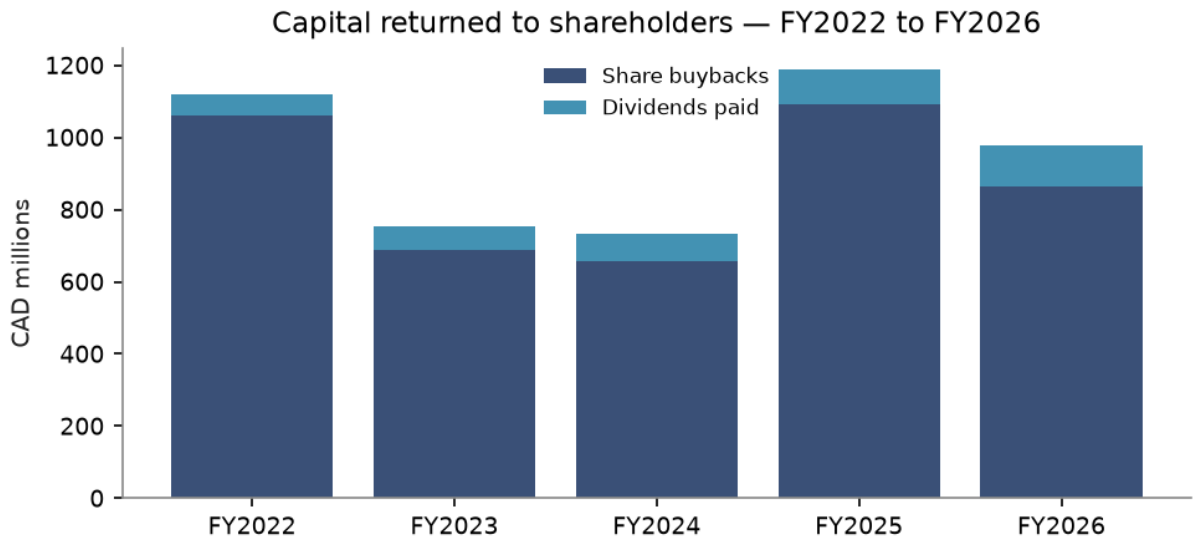


Figure 3 - Capital returned to shareholders, FY2022–FY2026 (CAD millions). Buybacks dominate; the dividend is a token (payout under 10%).

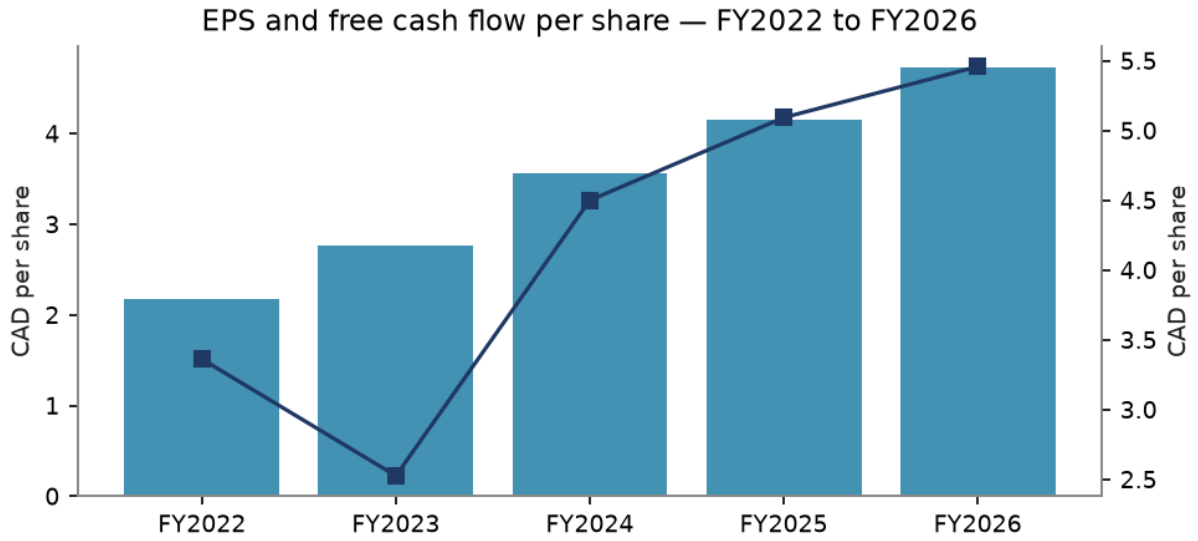


Figure 4 - EPS and free cash flow per share, FY2022–FY2026. Per-share growth comes from profit growth plus buybacks.

Leverage, stated honestly

Total debt including IFRS 16 lease liabilities was C$5,396M at FY2026 (of which leases C$2,771M), against C$340M of cash and short-term investments - net debt of about C$5,056M. That is roughly 2.3x FY2026 EBIT plus total depreciation: comfortable for a business with this cash conversion, and interest cover is strong. But analyses that count only the C$2,625M of borrowings understate obligations. The valuation therefore treats leases as debt both in the cash flows (FCFF before lease payments) and in the bridge from enterprise value to equity value.

4 Forecast - what is assumed, and why

The model (accompanying Excel file) is a fully integrated three-statement forecast. Revenue growth fades from 13% in FY2027 - flattered by a full year of Australia and Dollarcity momentum - to 6.5% by FY2031 as the Canadian store base matures. Gross margin is held at 45.0% (below the FY2022 level, in line with FY2025–26), SG&A; at about 15% of revenue, depreciation at 6.0% of revenue, capex at 3.5%, and the tax rate at the FY2026 effective rate of 25.8%. Working capital scales with revenue. Buybacks continue at C$900M a year; the dividend payout stays near 9% of earnings. The balance sheet balances in every year and the cash-flow statement reconciles to the balance-sheet cash plug - both checks are in the model and read zero.

	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue (C$M)	8,199	9,019	9,786	10,520	11,204
EBIT (C$M)	1,968	2,165	2,358	2,535	2,711
Net income (C$M)	1,449	1,595	1,739	1,870	2,001
EPS diluted (C$)	5.38	5.99	6.61	7.20	7.79
FCF before leases (C$M)	1,575	1,752	1,919	2,071	2,223

These are not aggressive assumptions: the implied five-year revenue CAGR is about 9%, below the last five years' 13.8%, and EBIT margin holds near 24% rather than expanding. The forecast risk cuts both ways: execution risk (Australia, Latin America) argues for caution, while the Canadian core has repeatedly beaten cautious assumptions when consumers are squeezed.

5 Valuation I - discounted cash flow

Cost of capital. Stated capital-market assumptions: a 3.4% risk-free rate, a 5.0% equity risk premium and a beta of 0.60, an assumption for a defensive, staples-like retailer, giving a 6.4% cost of equity. The after-tax cost of debt is 3.2% (4.3% pre-tax). At market weights (equity C$54.9B, debt incl. leases C$5.4B) the WACC is 6.11%. The beta is the most contestable input, hence the sensitivity grid below.

DCF (C$M)	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Free cash flow to firm	1,586	1,763	1,930	2,082	2,234

Present value of FCFF FY2027E–FY2031E	7,979
Present value of terminal value (g = 2.5%)	47,119
Enterprise value	55,098
Less: net debt incl. leases	(5,056)
Equity value	50,042
Shares outstanding (M)	272.7
Implied value per share (C$)	183.49
Market price 21 Oct 2026 (C$)	204.59
Implied downside	-10.3%

As always with a low-WACC, high-quality name, the terminal value dominates (about 85% of enterprise value). That is precisely why the sensitivity grid matters more than the point estimate.

WACC \ g	1.5%	2.0%	2.5%	3.0%	3.5%
5.1%	192	222	263	325	425
5.6%	166	188	217	258	319
6.1%	145	162	184	213	253
6.6%	129	142	159	181	209
7.1%	115	126	139	156	177

Table - Implied share price (C$) across WACC and terminal growth. The market price of C$204.59 is reached only in the optimistic corner (low WACC, high terminal growth).

6 Valuation II - trading comparables

Dollarama's peer set is imperfect: no other Canadian retailer combines its margins, growth and buyback intensity. The report shows North American value retailers (Dollar General, Dollar Tree, Five Below - USD reporters, ratios are currency-neutral) and large Canadian food/convenience retailers (Loblaw, Metro, Couche-Tard).

Company	P/E	Fwd P/E	P/S	Gross mgn	Op. mgn	Rev growth
Dollarama (TSX: DOL)	41.0x	38.3x	6.96x	44.7%	22.9%	17.9%
Dollar General (NYSE: DG)	17.1x	16.5x	0.67x	31.2%	5.7%	4.8%
Dollar Tree (NASDAQ: DLTR)	15.4x	18.2x	1.17x	37.2%	9.0%	8.2%
Five Below (NASDAQ: FIVE)	20.1x	22.0x	2.32x	37.6%	11.7%	25.6%
Loblaw (TSX: L)	28.9x	25.6x	1.21x	31.4%	7.2%	6.8%
Metro (TSX: MRU)	22.8x	18.6x	0.89x	19.5%	6.2%	2.9%
Couche-Tard (TSX: ATD)	17.2x	18.1x	0.68x	18.2%	5.9%	12.4%

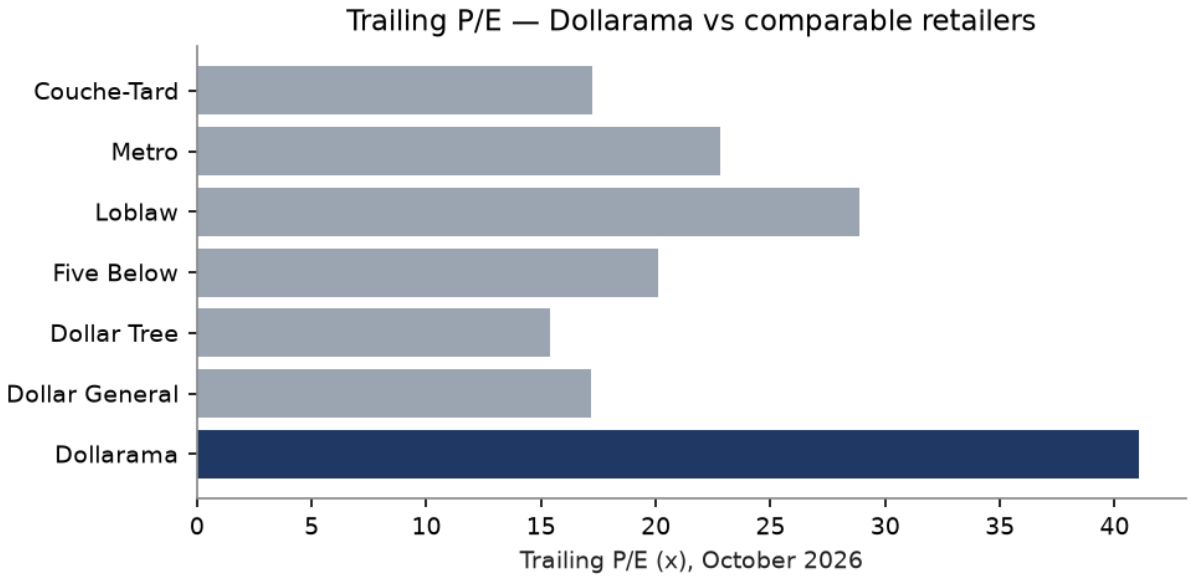


Figure 5 - Trailing P/E, October 2026 (TTM). Source: StockAnalysis.com.

The pattern is clear: Dollarama has the group's best gross and operating margins and near-best growth - and trades at about 1.4x Loblaw's multiple and 2.4x Dollar General's. Part of that premium reflects higher margins and more consistent growth, and part reflects the small number of Canadian consumer companies with this record. Applying even a generous 30x to FY2027E EPS of C$5.38 gives C$161, below both the price and the DCF base case - comparables alone point to expensive shares; the DCF indicates the premium is mostly, but not fully, supported by cash-flow durability.

Football field (C$ per share)

DCF sensitivity range (WACC 5.6–6.6%, g 2.0–3.0%)	142 – 258
DCF base case	183.49
Comps-implied at 25–30x FY2027E EPS	135 – 161
52-week trading range	163.25 – 209.96
Current price	204.59

7 Risks

- **Multiple compression.** The largest risk is not operational. At 41x earnings, even a re-rating to Loblaw-like levels (~29x) would erase about 30% of the market value with earnings unchanged.
- **International execution.** Australia is the first large consolidated expansion; Q2 FY2027 already showed margin dilution. A difficult conversion of The Reject Shop, or weakness in Dollarcity's markets and currencies, would hit both earnings and the narrative that supports the premium.
- **Trade-down reversal.** Part of recent Canadian strength is consumers trading down. A stronger consumer economy could slow traffic growth - an unusual risk for a retailer, but real for a value format.
- **Competition and costs.** Walmart, Amazon and Dollar Tree's Canadian ambitions pressure the value segment; minimum-wage growth and occupancy costs pressure the cost base Dollarama has historically controlled so well.
- **Leverage and rates.** Net debt including leases of about C$5.1B is well covered today, but the valuation's low discount rate means higher-for-longer rates would compress both the DCF value and, likely, the multiple.

8 Conclusion

Dollarama has grown revenue for ten consecutive years, holds gross margin near 45%, earns returns on assets near 18%, and buybacks turn mid-teens profit growth into roughly 21% EPS growth. The business itself is strong. The issue is the price: at C$204.59 the shares trade above the C$183 base-case value and near the top of their 52-week range, on a multiple roughly double the peer median. The rating is therefore **HOLD**: existing holders receive per-share compounding while waiting, but new money requires several more years of near-flawless execution. A pullback toward the C$160-180 zone, or evidence that Australian margins converge to Canadian levels faster than the model assumes, would change the answer.

Sources and methodology

Financial data: Dollarama's filed financial statements as aggregated by StockAnalysis.com (retrieved 21 October 2026), cross-checked against company results reporting for Q2 FY2027. Market data: TSX close, 21 October 2026. The full audit trail is reproducible: *scripts/fetch_data.py* collects the data, *analysis.ipynb* computes the ratios and charts, and *Dollarama_Financial_Model.xlsx* contains the integrated forecast and DCF with live formulas (balance-sheet and cash-flow checks read zero). Valuation assumptions (risk-free rate, beta, equity risk premium, terminal growth) are the analyst's stated assumptions, shown on the DCF sheet of the model, and are the inputs to challenge first.

Disclaimer

This report was prepared as an educational portfolio project to demonstrate financial analysis and modelling skills. It is based on public information believed to be reliable but not independently audited, it is not investment advice, a recommendation, or an offer to buy or sell any security, and it must not be relied upon for investment decisions. Figures are in Canadian dollars unless stated. Past performance is not indicative of future results.